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# Pre-Collection Recovery System: B2B Commercial AR

Structured recovery for commercial receivables,  
fleet/fuel card portfolios, and B2B credit operations

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EXECUTIVE REVIEW | B2B COMMERCIAL | 2026

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*This document contains proprietary analysis and industry research compiled by VitaCoreX LLC. All data sources are cited inline. Financial projections are illustrative and based on published industry benchmarks. Actual results depend on implementation, payer mix, patient demographics, and operational execution.*

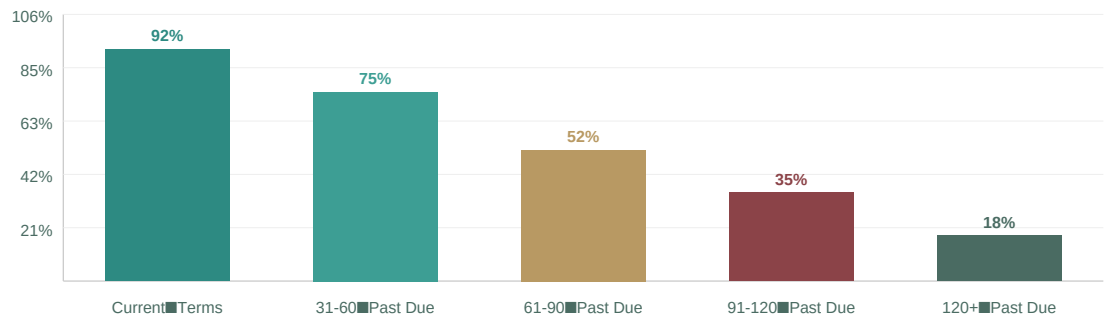
# Executive Snapshot

B2B commercial accounts receivable represents one of the largest and least-optimized asset classes in American business. Over \$180 billion in commercial receivables are past due at any given time, with a substantial portion ultimately written off without structured recovery intervention. Unlike consumer (B2C) collections, commercial AR recovery involves different legal frameworks (UCC Article 9, personal guaranty enforcement, LLC dissolution mechanics) and different economic dynamics (higher average balance, fewer accounts, greater documentation requirements per account).

|                                         |                                  |                                         |                                  |
|-----------------------------------------|----------------------------------|-----------------------------------------|----------------------------------|
| <b>\$180B+</b>                          | <b>2.5-4%</b>                    | <b>25-40%</b>                           | <b>5-7x</b>                      |
| U.S. commercial AR past due at any time | Average commercial bad debt rate | Revenue lost when accounts reach agency | ROI on structured pre-collection |

Sources: NACM Credit Managers Index 2024; ACA International Commercial Collection Survey 2024; Federal Reserve Senior Loan Officer Survey 2024; Dun & Bradstreet Credit Risk Report 2024.

B2B Commercial AR Recovery Probability by Aging (%)



Source: NACM National Summary of Domestic Trade Receivables 2024; D&B; Payment Analysis 2024.

B2B pre-collection operates under fundamentally different legal and economic frameworks than consumer collections, including UCC Article 9 security interests, personal guaranty enforcement, and LLC dissolution mechanics. Structured documentation during pre-collection is critical to establishing a foundation for downstream enforcement.

# Section 1: B2B Commercial AR Landscape

## Fleet/Fuel Card Industry Structure

The U.S. fleet/fuel card industry processes over \$200 billion in annual transactions across approximately 8 million active commercial accounts. Major players include WEX, Comdata (Corpay), FleetCor (Corpay), and Fuelman, with regional and independent card programs comprising an additional 15-20% of the market. Fleet card AR is characterized by high transaction volume, relatively predictable payment patterns, and identifiable deterioration signals when accounts begin to experience financial distress.

Fleet card portfolios typically experience 1.5-3% annual charge-off rates, with the majority of losses concentrated in small to mid-size fleet accounts (5-50 vehicles). Larger accounts have lower default rates but higher absolute loss values. The fleet card industry's credit management practices vary significantly between major national programs and regional/independent card programs, creating optimization opportunities in the pre-collection space.

## Commercial Credit Terms and Default Patterns

| Industry Segment         | Typical Credit Terms | Average Balance  | Default Rate | Primary Driver                          | Default |
|--------------------------|----------------------|------------------|--------------|-----------------------------------------|---------|
| Fleet/fuel cards         | Net 15-30            | \$5,000-50,000   | 1.5-3%       | Cash flow disruption, fuel price spikes |         |
| Equipment leasing        | Monthly/quarterly    | \$25,000-500,000 | 2-4%         | Revenue decline, equipment obsolescence |         |
| Trade credit (wholesale) | Net 30-60            | \$10,000-100,000 | 2-3%         | Customer insolvency, dispute escalation |         |
| Professional services    | Net 30-45            | \$5,000-250,000  | 3-5%         | Scope disputes, budget cuts             |         |
| Construction/contractors | Net 30-90            | \$20,000-500,000 | 4-7%         | Project delays, lien disputes           |         |
| SaaS/technology          | Monthly/annual       | \$2,000-100,000  | 2-4%         | Budget reallocation, contract disputes  |         |

Sources: NACM Credit Managers Survey 2024; Dun & Bradstreet Industry Payment Analysis 2024.

## B2B vs. B2C Recovery Dynamics

| Dimension                      | B2B Commercial                                        | B2C Consumer                                 | Practical Implication                       |
|--------------------------------|-------------------------------------------------------|----------------------------------------------|---------------------------------------------|
| Average account balance        | \$5,000-500,000                                       | \$200-5,000                                  | B2B justifies higher per-account investment |
| Number of accounts             | Fewer, concentrated                                   | Many, distributed                            | B2B allows case-by-case strategy            |
| Legal framework                | UCC Art 9, state commercial law, guaranty enforcement | FDCPA, CFPB Reg F, state consumer protection | Different tools and compliance requirements |
| Personal guaranty availability | Common (60-80% of commercial credit)                  | Rare                                         | B2B has guarantor leverage for LLC defaults |
| Documentation requirements     | High (contracts, guaranties, UCC filings)             | Moderate (account agreements, statements)    | B2B pre-collection must build legal file    |

| Dimension              | B2B Commercial                         | B2C Consumer     | Practical Implication                                           |
|------------------------|----------------------------------------|------------------|-----------------------------------------------------------------|
| Relationship dynamics  | Ongoing commercial relationship        | Transactional    | B2B recovery must preserve business relationship when possible  |
| Recovery rate (agency) | 15-22% net                             | 10-14% net       | B2B has slightly higher agency yields but same structural waste |
| Statute of limitations | Typically 4-6 years (written contract) | Varies 3-6 years | Longer window for B2B enforcement                               |

Sources: NACM 2024; ACA International Commercial vs. Consumer Survey 2024.

## Section 2: Hidden Leakage in B2B Receivables

Commercial AR leakage occurs through mechanisms that are distinct from consumer AR. While consumer leakage is primarily driven by affordability and communication gaps, commercial leakage is driven by documentation deficiencies, guaranty gaps, and suboptimal escalation timing. The following analysis identifies the primary leakage drivers and their cost impact.

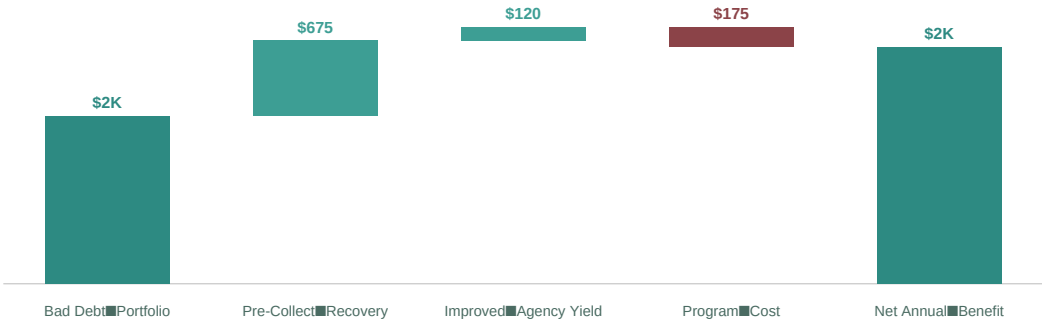
| Leakage Driver                 | Description                                                                   | Frequency               | Average Cost per Account             | Mitigation                                                 |
|--------------------------------|-------------------------------------------------------------------------------|-------------------------|--------------------------------------|------------------------------------------------------------|
| Missing personal guaranty      | LLC/corp debtor defaults without enforceable personal guaranty on file        | 25-35% of accounts      | \$15,000-50,000                      | Guaranty at origination; annual re-certification           |
| Incomplete UCC filing          | Security interest not properly perfected; priority lost to other creditors    | 15-20% of accounts      | \$10,000-100,000                     | UCC-1 filing at origination; continuation filing tracking  |
| Stale contact information      | Debtor entity changes address, principals, or registered agent without notice | 30-40% of accounts      | \$5,000-20,000 (delay cost)          | Quarterly data verification; Secretary of State monitoring |
| Premature write-off            | Account written off before exhausting pre-collection remedies                 | 20-30% of aged accounts | 30-60% of balance (opportunity cost) | Structured pre-collection before write-off decision        |
| Dispute escalation failure     | Legitimate disputes not resolved, causing entire balance to age               | 10-15% of accounts      | Full balance at risk                 | Dispute resolution protocol with defined timelines         |
| LLC dissolution without notice | Debtor entity dissolves (voluntarily or administratively) during collection   | 5-10% of aged accounts  | Full balance at risk                 | Secretary of State monitoring; early guarantor activation  |

Sources: NACM Credit Risk Management Guide 2024; ACA International Commercial Collection 2024.

### Cost of Inaction: B2B Write-Off Analysis

For a commercial credit operation with \$50M in annual receivables and a 3% bad debt rate, the annual write-off is \$1.5M. If structured pre-collection recovers 40-55% of accounts that would otherwise be written off, the annual recovery is \$600K-\$825K. At a 5-7x ROI on pre-collection investment, the economic case is compelling for any commercial portfolio with meaningful aging beyond 60 days.

B2B Pre-Collection Impact: \$50M Portfolio (\$K Annual)



*Illustrative: \$50M receivables, 3% bad debt rate. NACM/ACA International benchmarks.*

The waterfall demonstrates that pre-collection generates value through two mechanisms: direct recovery from structured outreach (\$675K) and improved agency yield on remaining placements (\$120K) due to better documentation and account segmentation. After program costs (\$175K), the net annual benefit exceeds \$620K -- a 3.5x return on investment. For larger portfolios (\$100M+), these economics scale proportionally, making pre-collection one of the highest-ROI investments available to B2B credit operations.

## Section 3: Pre-Collection Operating Framework

The B2B pre-collection framework operates in four stages, each with specific objectives, actions, documentation outputs, and escalation criteria. The framework is designed to maximize recovery while preserving commercial relationships where possible and building litigation-ready documentation packages for accounts requiring legal escalation.

### Stage 1: Segmentation and Assessment (Days 0-10)

Upon account referral, each account undergoes comprehensive assessment including balance validation, guaranty review, UCC filing verification, entity status check (Secretary of State), principal identification, and credit score review. Accounts are segmented into recovery tiers based on balance size, documentation completeness, entity status, and guarantor viability.

| Segment                          | Balance Range | Documentation Score               | Recovery Priority | Approach                                |
|----------------------------------|---------------|-----------------------------------|-------------------|-----------------------------------------|
| A: High-value, well-documented   | \$50K+        | Complete (guaranty + UCC)         | Critical          | Senior account manager, direct outreach |
| B: Mid-value, documentation gaps | \$15K-50K     | Partial (missing guaranty or UCC) | High              | Targeted outreach + documentation cure  |
| C: Standard commercial           | \$5K-15K      | Variable                          | Standard          | Structured outreach sequence            |
| D: Small balance / high volume   | <\$5K         | Variable                          | Automated         | Digital outreach + payment portal       |

### Stage 2: Structured Offer and Conversion (Days 10-30)

Accounts receive structured payment offers calibrated to their segment, balance, and financial condition. Offers include full payment incentives (5-10% discount for payment within 10 days), structured payment plans (3-12 months with mandatory autopay), and settlement offers for accounts with documented hardship. All offers are documented with formal terms and acceptance records.

| Offer Type                 | Criteria                   | Typical Terms                              | Acceptance Rate | Documentation                                    |
|----------------------------|----------------------------|--------------------------------------------|-----------------|--------------------------------------------------|
| Full payment discount      | All segments, first offer  | 5-10% discount if paid within 10 days      | 15-25%          | Offer letter, payment confirmation               |
| Structured plan (short)    | Segments A-C               | 3-6 months, mandatory autopay, 0% interest | 20-30%          | Signed plan, autopay authorization               |
| Structured plan (extended) | Segments A-B, high balance | 6-12 months, mandatory autopay             | 10-15%          | Signed plan, autopay auth, guaranty confirmation |
| Settlement offer           | Documented hardship        | 40-70% of balance, lump sum or 3-payment   | 8-12%           | Settlement agreement, release terms              |

### Stage 3: Guarantor Activation (Days 30-60)

For accounts where the entity debtor has not responded to initial outreach or where payment plans have defaulted, the personal guarantor (if available) is formally activated through a demand letter citing the guaranty agreement, the defaulted balance, and the cure period. Guarantor activation is one of the most effective tools in B2B



pre-collection, as it shifts the obligation from the business entity to the individual principal.

- Guarantor demand letter with copy of signed guaranty agreement and default calculation
- 14-day cure period before escalation to documentation-for-counsel stage
- Guarantor financial assessment where possible (public records, real property search)
- Parallel entity-level outreach continues during guarantor activation period
- Guarantor activation converts 20-35% of previously unresponsive accounts (NACM 2024)

**Stage 4: Mandatory Auto-Debit and Documentation Assembly (Days 60-90)**

Accounts that have been converted to payment plans are monitored for compliance. Plans with mandatory auto-debit authorization experience 70-80% completion rates vs. 35-45% for voluntary payment plans. Accounts that reach day 90 without resolution are prepared for agency or legal handoff with complete documentation packages including all communication records, offers, responses, guaranty documents, UCC filings, and entity status reports.

| Documentation Package Component           | Status Check                                      | Legal Purpose                                          |
|-------------------------------------------|---------------------------------------------------|--------------------------------------------------------|
| Original credit agreement                 | Verified and attached                             | Foundation for breach claim                            |
| Personal guaranty (if applicable)         | Verified, current address confirmed               | Guarantor enforcement                                  |
| UCC-1 filing (if applicable)              | Filed, current, continuation tracked              | Security interest priority                             |
| Communication log                         | Complete, timestamped, all channels               | Proof of notice and opportunity to cure                |
| Payment history                           | Full transaction history with defaults identified | Damages calculation                                    |
| Entity status report (Secretary of State) | Current within 30 days                            | Entity existence, dissolution status, registered agent |
| Offer/settlement history                  | All offers documented with responses              | Good faith negotiation evidence                        |
| Guarantor demand and response             | Demand sent, response documented                  | Guarantor liability establishment                      |

## Section 4: Litigation-Ready Documentation

The pre-collection documentation package is designed to be immediately usable by counsel for demand letter, lawsuit, or judgment enforcement without additional discovery or reconstruction. Each document has a specific legal purpose and is assembled during the pre-collection workflow rather than after account escalation.

| Document                                  | Purpose                                                                 | Legal Foundation                                             | Assembly Timing                |
|-------------------------------------------|-------------------------------------------------------------------------|--------------------------------------------------------------|--------------------------------|
| Credit application with signed terms      | Establishes contractual relationship and agreed terms                   | Contract law; offer and acceptance                           | Stage 1 (verification)         |
| Personal guaranty agreement               | Creates individual liability for entity debts                           | Guaranty law; consideration established by credit extension  | Stage 1 (verification)         |
| UCC-1 financing statement                 | Perfects security interest in collateral                                | UCC Article 9; priority among creditors                      | Stage 1 (verification/filing)  |
| Demand letter with delivery confirmation  | Satisfies notice requirements; starts cure period                       | FDCPA (if applicable); state notice requirements             | Stage 2 (initial outreach)     |
| Payment plan agreement with default terms | Establishes modified payment obligation with clear default triggers     | Contract modification; new consideration                     | Stage 2 (offer conversion)     |
| ACH/auto-debit authorization              | Enables automated payment collection                                    | NACHA Operating Rules; E-SIGN Act                            | Stage 2 (enrollment)           |
| Default and cure notice                   | Documents breach and opportunity to cure before acceleration            | Good faith requirement; acceleration clause                  | Stage 3 (guarantor activation) |
| Communication audit trail                 | Proves compliance with all notice and communication requirements        | FDCPA defense; state law compliance; good faith evidence     | Throughout (continuous)        |
| Entity status report                      | Verifies current entity existence, dissolution status, registered agent | Standing to sue; service of process; dissolution enforcement | Stage 1 and Stage 4 (update)   |

Sources: UCC Article 9; FDCPA; Florida Statutes; NACHA Operating Rules; E-SIGN Act (15 USC 7001).

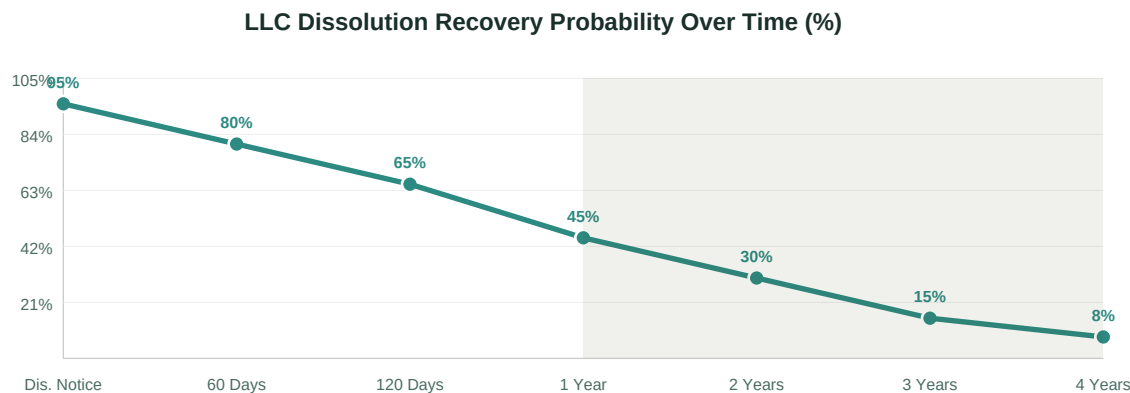
## Section 5: LLC Dissolution Enforcement Scenario

LLC dissolution presents unique challenges and opportunities in B2B recovery. When a debtor LLC dissolves (voluntarily or through administrative dissolution by the state), creditors have specific rights and remedies under state law. Florida Revised Limited Liability Company Act (F.S. Chapter 605) provides a structured framework for creditor claims against dissolved LLCs and their members/managers.

### Florida LLC Dissolution: Creditor Rights Timeline

| Phase                        | Timing                   | LLC Obligation                                     | Creditor Right                                    | Legal Basis      |
|------------------------------|--------------------------|----------------------------------------------------|---------------------------------------------------|------------------|
| Pre-dissolution notice       | Before dissolution       | Notify known creditors in writing                  | File claim within stated period (min 120 days)    | F.S. 605.0702(1) |
| Claims filing period         | 120+ days post-notice    | Process filed claims; accept or reject             | Submit claim with supporting documentation        | F.S. 605.0702(2) |
| Rejection response           | 90 days after rejection  | Provide written rejection with reasons             | Commence legal action within 90 days of rejection | F.S. 605.0702(3) |
| Unknown creditor publication | After dissolution filing | Publish notice in newspaper of general circulation | File claim within 4 years of publication          | F.S. 605.0703    |
| Asset distribution           | During winding up        | Pay claims before to distributing members          | Priority over member distributions                | F.S. 605.0710    |
| Post-dissolution enforcement | Up to 4 years            | Former members liable for distributions received   | Sue former members for received distributions     | F.S. 605.0704    |

Source: Florida Revised LLC Act, F.S. Chapter 605; Florida Bar CLE materials 2024.



Illustrative based on Florida dissolution timeline and creditor claim processing data.

### Personal Guaranty Enforcement in Dissolution

When an LLC dissolves, the personal guaranty becomes the primary enforcement mechanism. The guaranty survives entity dissolution and can be enforced against the individual guarantor's personal assets. Key requirements for enforcement include: (1) valid and enforceable guaranty agreement, (2) proper default notice to guarantor, (3) opportunity to cure, and (4) documentation of the underlying obligation and default. Pre-collection documentation that includes these elements reduces downstream legal costs and accelerates recovery.

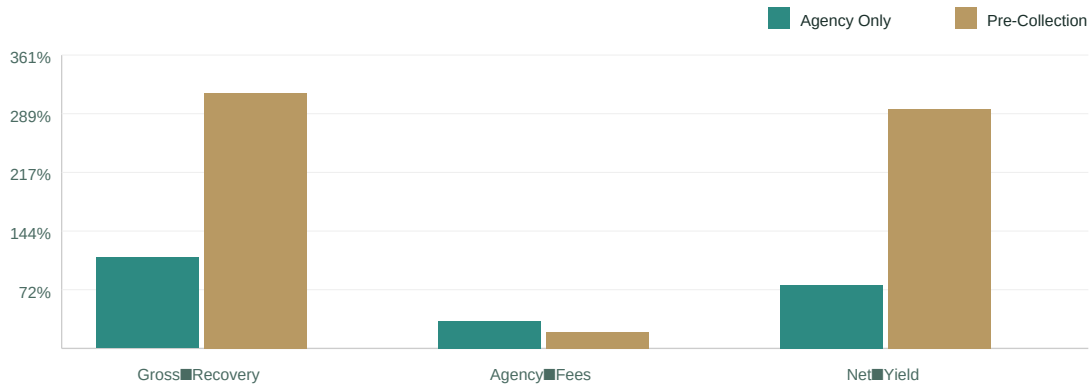
## Section 6: Financial Impact Model

### Agency vs. Pre-Collection Comparison

The following model compares outcomes for a commercial credit operation with \$20M in annual receivables and a 3.5% bad debt rate (\$700K annual write-off exposure). The model assumes conservative pre-collection conversion rates based on NACM and ACA International benchmarks.

| Metric                                     | Agency Only           | Pre-Collection + Agency | Delta                    |
|--------------------------------------------|-----------------------|-------------------------|--------------------------|
| Total past-due portfolio addressed         | \$700K                | \$700K                  | --                       |
| Accounts receiving structured intervention | 0% (direct to agency) | 100%                    | +100%                    |
| Pre-collection conversion rate             | N/A                   | 40-50%                  | --                       |
| Pre-collection recovery (net)              | \$0                   | \$252K-315K             | +\$252K-315K             |
| Remaining accounts to agency               | \$700K                | \$385K-420K             | -40-50%                  |
| Agency gross recovery                      | \$112K (16%)          | \$62K-67K               | -\$45K-50K               |
| Agency contingency fee (30%)               | -\$34K                | -\$19K-20K              | +\$14K-15K               |
| Agency net recovery                        | \$78K                 | \$43K-47K               | -\$31K-35K               |
| TOTAL net cash recovery                    | \$78K                 | \$295K-362K             | +\$217K-284K (+278-364%) |

Agency Only vs. Pre-Collection: Annual Recovery Comparison (\$K)



Illustrative: \$20M receivables, 3.5% bad debt. NACM/ACA International 2024 benchmarks.

### ROI Analysis

| Investment Component                    | Annual Cost     | Return | ROI |
|-----------------------------------------|-----------------|--------|-----|
| VitaCoreX engagement fee                | \$45,000-65,000 | --     | --  |
| Internal staff allocation (incremental) | \$15,000-25,000 | --     | --  |
| Technology/integration                  | \$5,000-10,000  | --     | --  |

| Investment Component     | Annual Cost      | Return      | ROI      |
|--------------------------|------------------|-------------|----------|
| Total annual investment  | \$65,000-100,000 | --          | --       |
| Net incremental recovery | --               | \$217K-284K | --       |
| NET ROI                  | --               | \$117K-219K | 2.2-4.4x |

The ROI range of 2.2-4.4x reflects conservative assumptions. The lower bound assumes 25% pre-collection conversion and minimal agency yield improvement; the upper bound assumes 40% conversion with full documentation benefits flowing through to agency performance. Most commercial operations achieve mid-range results (3.0-3.5x) within the first 12 months, with continued improvement as workflow refinements compound. The payback period is typically 4-6 months, with break-even achieved in the first quarter for portfolios exceeding \$10M.

Key variables driving ROI variance include: (1) portfolio composition -- higher-balance accounts and accounts with personal guaranties yield better conversion rates; (2) debtor industry -- construction and professional services show higher voluntary payment rates than wholesale distribution; (3) documentation quality at referral -- accounts referred with complete contract files and communication logs convert 25-30% faster than undocumented accounts; (4) internal staff engagement -- organizations that integrate pre-collection workflows into existing credit management processes see 15-20% higher conversion rates.

## Section 7: Regulatory Framework

### Florida-Specific Commercial Recovery Law

Florida provides a comprehensive legal framework for commercial debt recovery that includes both statutory remedies and common law enforcement mechanisms. Understanding these tools is essential for designing compliant and effective pre-collection workflows.

| Statute       | Title / Subject                           | Key Provisions                                                                                               | Application to Pre-Collection                                                                      |
|---------------|-------------------------------------------|--------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------|
| F.S. 559      | Florida Consumer Collection Practices Act | Prohibits specific collection abuses; registration requirements; additional protections beyond federal FDCPA | Applies when collecting consumer debts; commercial debts may be exempt but best practice to comply |
| F.S. 605.0702 | LLC Dissolution -- Known Creditor Claims  | LLC must notify known creditors; 120-day minimum claim period; rejection triggers 90-day litigation window   | Critical for dissolved entity recovery; drives documentation timing                                |
| F.S. 95.11    | Statute of Limitations                    | Written contracts: 5 years; oral contracts: 4 years; foreign judgments: 20 years                             | Defines enforcement window; pre-collection must start well before expiration                       |
| F.S. 55.10    | Judgment Liens on Real Property           | Recorded judgment creates lien on debtor's real property in county of recording; 10-year duration            | Post-judgment enforcement tool; pre-collection documentation enables faster judgment               |
| F.S. 48.193   | Long-Arm Statute                          | Florida courts can exercise jurisdiction over non-residents who conduct business in Florida                  | Enables Florida jurisdiction for out-of-state debtors with Florida business connections            |

Source: Florida Statutes; Florida Bar Continuing Legal Education materials 2024.

### Federal Commercial Recovery Framework

| Law/Regulation           | Key Provisions                                                                                                                                                   | Pre-Collection Application                                                                 |
|--------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------|
| FDCPA (15 USC 1692)      | Governs third-party debt collection; prohibits harassment, false statements, unfair practices. Note: first-party creditors generally exempt for commercial debts | Compliance framework even when technically exempt; best practice protects against disputes |
| UCC Article 9            | Governs security interests in personal property; filing, perfection, priority, and enforcement of security interests                                             | UCC-1 filing verification and continuation tracking; priority analysis for secured claims  |
| NACHA Operating Rules    | Governs ACH payment processing; authorization requirements, return codes, dispute resolution                                                                     | Auto-debit authorization compliance; return handling procedures                            |
| E-SIGN Act (15 USC 7001) | Electronic signatures and records have same legal effect as written signatures                                                                                   | Digital agreement execution; electronic audit trails; e-signed guaranties                  |

| Law/Regulation                    | Key Provisions                                                                                    | Pre-Collection Application                                                    |
|-----------------------------------|---------------------------------------------------------------------------------------------------|-------------------------------------------------------------------------------|
| Fair Credit Reporting Act         | Governs credit reporting; accuracy requirements; dispute procedures; permissible purposes         | Commercial credit reporting; tradeline accuracy; dispute response obligations |
| Telephone Consumer Protection Act | Restrictions on autodialed calls, prerecorded messages, and texts; prior express consent required | Outreach compliance; consent documentation; opt-out mechanisms                |

Sources: Federal statutes as cited; CFPB Compliance Guides; NACM Legal Reference 2024.

## Section 8: Commercial Credit Assessment Framework

Effective pre-collection begins with accurate assessment of the debtor's ability and willingness to pay. The commercial credit assessment framework evaluates both entity-level and individual guarantor-level factors to determine the optimal recovery strategy for each account.

### Entity Risk Scoring Model

| Factor                            | Weight | Low Risk (Score: 1-3)         | Medium Risk (Score: 4-6)        | High Risk (Score: 7-10)          |
|-----------------------------------|--------|-------------------------------|---------------------------------|----------------------------------|
| Entity status                     | 20%    | Active, good standing         | Administrative issues, warnings | Dissolved, revoked, or suspended |
| Payment history (prior 12 months) | 25%    | Current or <30 days late      | 30-60 days late pattern         | 60+ days late pattern            |
| Years in business                 | 10%    | 5+ years                      | 2-5 years                       | <2 years                         |
| Balance relative to credit limit  | 15%    | <50% of limit                 | 50-80% of limit                 | >80% of limit or over limit      |
| Industry risk                     | 10%    | Stable industry, low default  | Cyclical industry               | Distressed industry              |
| Guaranty status                   | 20%    | Current, enforceable guaranty | Guaranty on file, untested      | No guaranty or expired           |

### Guarantor Evaluation Criteria

| Factor                   | Assessment Method                                 | Favorable Indicator                 | Unfavorable Indicator                        |
|--------------------------|---------------------------------------------------|-------------------------------------|----------------------------------------------|
| Real property ownership  | County recorder search                            | Multiple properties, no tax liens   | No property, or significant liens            |
| Personal credit profile  | Consumer credit report (with permissible purpose) | 700+ score, stable history          | Below 600, recent delinquencies              |
| Other business interests | Secretary of State search                         | Active businesses, good standing    | Multiple dissolved entities, serial defaults |
| Geographic stability     | Address history                                   | Stable residence 3+ years           | Frequent moves, out-of-state                 |
| Litigation history       | Court records search                              | No adverse judgments                | Multiple judgments, bankruptcy history       |
| Asset visibility         | Public records                                    | Identifiable real/personal property | No visible assets, nominee ownership         |

Sources: NACM Credit Investigation Manual 2024; Dun & Bradstreet Credit Assessment Guidelines.

### Recovery Strategy by Risk Score

| Risk Score | Entity Assessment           | Recommended Strategy                  | Expected Conversion | Escalation Path                            |
|------------|-----------------------------|---------------------------------------|---------------------|--------------------------------------------|
| 1-3 (Low)  | Viable entity, good history | Standard outreach, payment plan offer | 60-80%              | Rarely needed; standard agency if required |



| Risk Score      | Entity Assessment                    | Recommended Strategy                                                        | Expected Conversion | Escalation Path                                  |
|-----------------|--------------------------------------|-----------------------------------------------------------------------------|---------------------|--------------------------------------------------|
| 4-6 (Medium)    | Some risk indicators present         | Accelerated outreach, guarantor notification, settlement offer              | 35-55%              | Guarantor activation at day 30; agency at day 90 |
| 7-8 (High)      | Significant risk, limited viability  | Immediate guarantor activation, settlement priority, documentation assembly | 20-35%              | Legal review at day 60; potential litigation     |
| 9-10 (Critical) | Dissolved/dissolving, non-responsive | Guarantor demand, creditor claim filing, legal preparation                  | 10-20%              | Immediate counsel referral with complete file    |

## Section 9: Engagement Path

VitaCoreX LLC provides structured pre-collection recovery infrastructure for B2B commercial credit operations. The engagement is designed to integrate with existing credit management workflows while providing specialized recovery expertise and documentation discipline for aged commercial receivables.

| Step                        | Description                                                                                       | Timeline   | Deliverable                                                      |
|-----------------------------|---------------------------------------------------------------------------------------------------|------------|------------------------------------------------------------------|
| 1. Portfolio Assessment     | Review of AR aging, credit terms, guaranty coverage, UCC filing status, write-off patterns        | Week 1-2   | Portfolio opportunity report with prioritized recovery targets   |
| 2. Custom Recovery Design   | Strategy development including segmentation model, outreach sequences, documentation requirements | Week 2-3   | Recovery playbook and financial model with scenario analysis     |
| 3. Pilot Launch             | 90-day controlled pilot on defined account segment (\$500K-2M in aged AR)                         | Week 4-16  | Weekly performance reports, conversion tracking, ROI measurement |
| 4. Optimization and Scaling | Performance analysis, workflow refinement, expanded deployment                                    | Week 16-20 | Scaling plan with validated conversion rates and cost model      |
| 5. Steady State Operations  | Ongoing recovery management with monthly reporting and quarterly reviews                          | Ongoing    | Monthly executive dashboard, quarterly business review           |

### Engagement Differentiators for B2B

- Deep expertise in Florida commercial law including LLC dissolution, guaranty enforcement, and UCC Article 9
- Litigation-ready documentation assembly built into every account workflow
- Guarantor activation as a core recovery tool (not available in consumer collections)
- Entity monitoring including Secretary of State status tracking and registered agent changes
- Performance-aligned pricing with transparent cost structure
- Real-time portfolio dashboard with aging analysis, conversion tracking, and ROI reporting

Contact VitaCoreX LLC at (888) 794-8292 or [info@vitacorexllc.com](mailto:info@vitacorexllc.com) to schedule a discovery call. We will review your commercial AR aging, credit documentation, and recovery opportunities for structured pre-collection improvement.

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